

Calderwood Partners LLC

www.calderwoodpartners.com

February 17, 2016

Linda Gallegos
Chief Financial Officer
Hughes Group

Dear Ms. Gallegos:

This letter sets out, as precisely as I can make it, the terms on which our firm would undertake the review of your sales organization that you and your colleagues have asked of us. I have written it so that a single signed copy resting in each of our files will settle, beyond later argument, what the two of us agreed. I have been careful to commit the firm only to what I am confident we can deliver, and if anywhere below the letter appears to promise more than that, I would ask you to raise it with me before you sign, so that what we put our names to is exactly what we intend to do and nothing more.

The Work You Have Asked Us to Do

As I understand it, Hughes Group has reached a point at which the question is no longer whether its products find a market but whether the sales organization is built to capture that market as fully as it should, and you have asked us to examine that organization from the outside and to report on it plainly. Our review will take in the way the sales force is structured and deployed against the territories and accounts it serves, the discipline with which price and discount are set and held, the health of the pipeline from a first contact through to a closed order, and the degree to which the firm's own incentives pull its salespeople toward the business you most want them to win. What the review will not take in is the design of the products themselves, the conduct of your finance or accounting functions, or any matter of law, on which you should continue to rely on the advisers who ordinarily attend to them; where our work brushes against those areas we will offer a considered commercial judgment and not a professional opinion in their place.

How We Mean to Work

Our method is deliberate, and I hope you will find it plain rather than ingenious. We begin by gathering the evidence carefully, from your own records and from the people who carry your accounts, and reconciling it against itself before we draw a

single conclusion from it, so that every judgment we eventually set in front of you can be traced to the source beneath it and tested there if you wish. Where the evidence will support a firm view we will give you one, and where it will support only a range or a caution we will say so instead, since a recommendation that runs past what we actually know is of no use to you and no credit to us.

The People Assigned to You

I will keep my own hand on the engagement and read anything of consequence before it leaves us under the firm's name. Jason Torres will carry the relationship at your executive level and will be the person who frames what we are finding and, when the moment comes, tells you plainly whatever the evidence obliges us to tell you, whether or not it is what you were hoping to hear. Nicole Griffin will gather and keep in order the source material the analysis runs on, from your sales records to the notes taken in our working sessions, so that no figure we show you is ever unmoored from where it came from. Matthew Parrish will build the outside reference points against which we measure your organization, and he brings to that work a useful skepticism, distrusting a clean comparison until he has seen how it was assembled. You are welcome to reach me at any time, though for the day-to-day conduct of the work Jason Torres will be the readier route to an answer.

Fee and Commencement

Our fee for the engagement as I have described it is \$30,000, which covers the time of the people named above through the completion of the work and against which we will render invoices as the engagement proceeds. We would begin on February 27, 2016, and would move promptly thereafter into the first requests for records and the opening interviews, so that the early weeks are not lost to arranging what might have been settled in advance.

Invoicing and Payment

Each invoice we render against the fee stated above falls due within thirty days of your receipt of it. The fee covers our people and their time and not the incidental costs of the work, such as travel or the purchase of third-party market data, which we will incur only with your agreement and pass through to you at what they cost us and nothing more. Should the shape of the work change materially from what this letter contemplates, I will raise the matter of the fee with you and we will settle it together before any further work is done, so that nothing ever reaches you on an invoice as a surprise.

Duration and Ending the Engagement

We expect the work to run for something on the order of five months, though I would ask you to read that as an honest estimate of the effort rather than a promise about the calendar, since we will treat the assignment as finished when it is genuinely done and not merely when a set number of weeks has elapsed. Either of us may bring the engagement to an end on thirty days' written notice to the other, and should you choose to do so you would owe us for the work properly performed to that point and for any costs already committed on your behalf, and for nothing beyond that.

Confidentiality

Whatever we learn about Hughes Group and the conduct of its business while this work is under way, we will treat as confidential and use for no purpose other than the engagement itself. The duty binds each person on the team, it survives the close of our work together, and it reaches the fact of our engagement as surely as its substance. I would ask the same discretion of you as to the working methods and materials we share with you, which represent the firm's own practice and are meant for your use and not for wider hands.

Limitation of Liability

We will bring to the work the care and skill that a firm engaged for it should be expected to bring, and we will answer for the quality of what we do. The decisions that Hughes Group will finally take on the strength of our advice, and the circumstances in which it acts on them, lie beyond our control; and so, except so far as the law forbids such a limit, whatever liability we may bear to you out of this engagement is capped at the fees actually paid under it.

Governing Law

The law of the state in which the firm is established governs this agreement, and the courts of that state will hear any dispute that arises under it. Should a single provision of the letter prove unenforceable, the remainder of it will stand, undisturbed.

If this letter records the understanding we reached, I would be grateful if you would sign the enclosed copy where indicated below and return it to me, keeping the second copy for your own file; once your signed copy is in hand, Jason Torres will write to arrange the opening interviews and the first requests for records, so that we lose none of the early weeks to settling what can be settled now.

Julie Ramsey

Managing Principal

Date: February 17, 2016

Linda Gallegos

Chief Financial Officer, Hughes Group

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